



ASSESSMENT DELINQUENCY POLICY

Directors Approved: 8/16/06

Timely payment of regular and special assessments is of critical importance to the Association. Member's who fail to pay assessments when due creates a cash-flow problem for the Association and cause those owners who make timely payments of their assessments to bear a disproportionate share of the community's financial obligations. Therefore, the Board of Directors has enacted the following policies and procedures concerning the collection of delinquent assessments accounts:

1. All regular assessments will be due and payable on the first day of January and July. All special assessments will be due and payable on the date(s) specified by the Board upon their adoption.
2. Assessments will be delinquent if not paid by 30 days after they become due.
3. A twenty-five dollar (\$25.00) service fee will be charged on all checks returned by the bank.
4. Prior to the time the Association retains counsel to handle a dues and/or assessment delinquency, the mailing address for overnight payment of assessments to the Association is:

Oaktree Park Cabana Club

P.O. Box 36092

San Jose, CA 95158

5. If any assessment is not received in full prior to the delinquency date, a late charge of ten dollars (\$10.00) will be due, and the Association will then commence enforcement action in any manner permitted by law, subject to, and in accordance with, all applicable legal requirements. In such event, the Association may recover from the delinquent owner any reasonable cost, including attorney's fees that the Association incurs in its efforts to collect the delinquent sums, and may require that all such charges be paid in full, together with all delinquent assessments, late charges, interest or other charges due, to cure the delinquency.
6. If any assessment payment is due and unpaid for more than 60 days, interest may be imposed on all sums due, including the delinquent assessments, collection costs (including attorneys fee), and late charges, at the rate of 12% per annum.
7. Once an assessment is delinquent, the Association will cause a notice to be issued by certified mail to the owner's address of record of the existence and amount of the delinquency, and providing other relevant information (Delinquency Notice).

8. Owners who dispute any amounts specified in a Delinquency Notice may submit a written request for dispute resolution to the Association. If any such request is received by the Association, the Association will meet and confer with the owner making such request.

9. Owners desiring a payment plan to resolve the delinquency giving rise to a Delinquency Notice may submit a written request for a meeting with the Board to discuss a payment plan. Provided that such request is mailed within 15 days of the date of the postmark on the Delinquency Notice, and a regular meeting of the Board is scheduled to occur within 45 days, the Board will meet with the owner in executive session. If there is no such scheduled meeting during such period, a committee of one or more members may be designated by the Board to meet with the owner and discuss such request. Payment plans will contain such terms as the Board, or its designated committee, may approve on a case by case basis, will be in writing, and will be signed by the owner(s) and an authorized representative of the Association.

10. If a delinquency has not been paid within 30 days after the mailing of a Delinquency Notice, the Association will cause to be recorded in the County Recorder's Office a Notice of Delinquent Assessment (Lien) concerning all sums which are then due, including any assessments, late charges, costs, and reasonable attorneys fees, to confirm and give public notice that the Association claims a lien against the delinquent owners property which may be subject to foreclosure by either non-judicial or judicial foreclosure.

11. From and after the recordation of a Lien, the Association may enforce the Lien, or otherwise pursue its rights to recover all unpaid assessments and related amounts due, in any manner permitted by law, including without limitation judicial or non-judicial foreclosure, as the Association determines to be appropriate, subject to, and in accordance with, all applicable legal requirements.

12. Subject solely to the provisions of Paragraphs 8 and 9 above, (i) from and after the issuance of a Delinquency Notice, the Association, acting through counsel or any other authorized representative of the Association, may give written notice to the delinquent owner establishing a new address for all further communication to the Association relating to delinquent and/or recipients for any notices or other communications to the Association concerning, or during the pendency of, any delinquency proceedings relating to such Delinquency Notice; and (ii) once the Association has retained counsel to handle an assessment delinquency for the Association, communications concerning such matters on behalf of the Association will be conducted exclusively by counsel for the Association and/or the trustee designated in the Lien until any such delinquency is fully satisfied.

13. Owners have the right to submit a written request to the Association identifying a secondary address for the purposes of collection notices. If the Association receives any such written request designating or changing any such secondary address, the Association will send a second copy of any legal notices or other required correspondence issued in support of the Associations assessment enforcement procedures to such secondary address from and after the time of actual receipt by the Association of any such request. Board of Directors Approved: 8/16/06